

How thematic investing gives your portfolio the performance edge



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It is challenging for investors to choose the most suitable sectors or segments for their requirements in the best of times. The task becomes even more difficult in the current environment where the US faces growth and inflation challenges, surging bond yields, and the trade tariff issues are still playing out.

While there are challenges at the global level, slowing earnings momentum domestically and geopolitical tensions mean investors need to take macros and industry dynamics into consideration while deciding on specific avenues.

In this regard, thematic investing – which spans many sectors – could be a good diversification move for those looking to gain from positive trends therein. Consumption, defence, manufacturing, capital markets, services and infrastructure are some of the many themes available. Investing in a combination of themes can also be rewarding.

Challenges for retail investors

While thematic investments can deliver over the long term, it is not easy to zero in on the right ones.

For one, making the connect for finding the correlation between macros and sectoral performance is not easy given the limited time and resources at investors'

disposal.

The table shows that the winners keep rotating. However, identifying outperformers is not easy.

Greed and fear are clear impediments for retail investors. For example, in March 2020, after the start of the COVID-19 pandemic, business cycle was at the bottom and there was fear all around. But supportive fiscal and monetary policies for growth revival along with very low valuations meant that those who invested well at that time would have seen their portfolios double in the next 18 months as several themes clicked simultaneously. In contrast, when everything was looking hunky-dory in September 2024 with greed being high on the horizon even when valuations were stretched and corporate earnings were decelerating, loading up on equities would have resulted in severe value erosion. Markets crashed 15-25% in the following six months.

Controlling emotions in market extremes is indeed difficult.

The third key challenge is to devise a strategy to enter or exit specific themes, apart from making tax-efficient calls while doing so. These issues are overcome by investing in a basket of themes.

Taking the fund route

Zeroing in on one theme that finds market favour is one aspect of investing. A better mode of thematic investing is to consider a mutual fund scheme that invests in a basket of themes. In other words, a

thematic fund of fund benefits from the positives of specifically chosen themes based on macro and industry calls, and would help rise above the challenges mentioned earlier.

A fund encompassing multiple themes would work well given the process it follows to choose the best investments that pass through multiple filters.

Macroeconomic indicators such as GDP growth, fiscal deficit, current account deficit, crude oil price movement, currency, inflation and interest rates are taken into account to select the broad themes that would thrive in a specific environment.

Then the valuations of underlying sectors that passed through the earlier process are assessed and compared with long-term averages and contextualised with current market situations. This is done to avoid overpaying for any theme.

Based on macroeconomic indicators and valuations, weightages are assigned to specific themes and their underlying sectors.

A thematic fund of fund would give you a multi-cap or a flexi-cap portfolio with several underlying sectors, which also makes it a set of diversified holdings.

Since theme weightages are carefully assigned, there is potential for outsized performance.

Gains from fund of funds are now taxed at 12.5% after a 24-month holding period. They were taxed at slab rates earlier.

Sector	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025*
Auto										47.6%		
Bank	64.6%			40.5%		17.4%			21.2%			
Commodities			24.0%									4.3%
FMCG												
Infrastructure												
IT					24.9%				53.2%			
Pharma		9.5%					60.5%				39.1%	
Nifty 50	31.4%	-4.1%	2.8%	28.6%	4.1%	11.5%	14.8%	23.8%	4.3%	20.0%	8.8%	-0.9%
S&P BSE Sensex	30.1%	-5.1%	1.8%	27.9%	6.7%	13.8%	15.6%	21.7%	4.4%	18.7%	8.2%	-0.5%

*YTD as on 31st March 2025